

to snap up the popular issues without much regard for facts. Many people were doing their investment thinking—if it can properly be called that—with their emotions rather than with their heads. They looked for lightning-fast growth in stocks that were already priced higher than the limits of any genuine value levels to which they could conceivably grow in the foreseeable future.

It is an old Wall Street saw that the stock market will always find a reason for whatever it does—after having done it. Innumerable theories have been advanced to explain why the market broke on May 28, 1962. The blame has been placed on everything from "selling waves by foreign speculators" to the Kennedy Administration's reaction to the aborted steel industry price increase—in fact, on everything but the most obvious reasons.

The factors that bring on financial panics are many and varied. For example, in 1869, the cause was an attempted corner on gold. In 1873 and 1907, bank failures started the trouble. In 1929, the stock market was vastly overpriced, and the general state of American business and the rate of America's economic expansion were such as to justify little or none of the stock buying that carried prices to the towering peaks from which they inevitably had to fall.

Despite all the efforts that have been expended to draw a close parallel between the 1929 crash and the 1962 price break, the two have practically nothing in common.

True, some segments of the stock market were grossly overpriced in 1960-1962; far too many stocks were priced

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far too high. But the nation's business outlook was generally good in 1962, and the economy was expanding at a merry clip. There were no hidden, deep-down structural flaws in the economy such as there had been in 1929.

There were other great differences. In 1929, stock speculation was done mainly on borrowed money; shares were purchased on the most slender of margins. Thus, when prices collapsed, credit collapsed, too.